

Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. & Another

Allahabad High Court · Division Bench · 12 April 2017 · AIR 2017 (NOC) 833 (All.); 2017 (4) ALJ 19; (2017) 6 ADJ 344 · WRIT - C No. 15130 of 2017 · **Writ petition allowed; impugned 'final notice' letters quashed, licensee left free to make a proper final assessment**

HEADNOTE

The condition precedent to a provisional assessment under Section 126(1) of the Electricity Act, 2003 is the assessing officer's recorded conclusion, based on inspection, that the person is indulging in unauthorised use of electricity — such satisfaction cannot rest on mere vagaries without a fair opportunity of hearing. Clause 8.1(b) of the U.P. Electricity Supply Code, 2005 mandates, after a consumer files objections to a provisional assessment/show-cause notice, a personal hearing before any final assessment is made. A licensee cannot, after a consumer has filed timely objections to a provisional assessment (following a prior court order permitting such objections), simply issue a 'final notice' demanding payment of the same provisionally-assessed amount — without any notice of hearing, without considering the objections, and without passing or serving any actual final assessment order — and treat that notice as enforceable; such notices, issued to pressure the consumer into payment while dehors the statutory Section 126/Clause 8.1 procedure, are liable to be quashed, without prejudice to the licensee thereafter conducting a proper final assessment in accordance with law.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::8.1

A 'final notice' demanding payment of a provisionally assessed amount, issued without any hearing on the consumer's timely-filed objections and without an actual reasoned final assessment order, is dehors the Section 126/Clause 8.1 procedure and must be quashed

QUESTION

Can a licensee enforce payment of a provisionally assessed theft-related amount by issuing a 'final notice' after the consumer has filed objections, without giving any notice of personal hearing, considering the objections, or passing/serving a reasoned final assessment order?

HOLDING

No. Section 126(1)'s provisional assessment requires the assessing officer's recorded conclusion of unauthorised use, which itself cannot be reached without a fair opportunity of hearing given the potential overlap with s.135 investigation. Clause 8.1(b)(iii) of the Supply Code specifically requires a personal hearing after the consumer files objections to the provisional assessment/show-cause notice, before any final order is passed. Here, after the petitioner filed timely objections (pursuant to an earlier court order permitting him to do so and deposit 50% of the provisional amount for restoration), the licensee neither gave notice of hearing nor considered the objections, yet issued 'final notice' letters (4.3.2017, repeated 17.3.2017) simply reiterating the original provisional-assessment figure as though finally established, without ever serving any actual reasoned final assessment order. This is dehors the statutory procedure (following Ashok Kumar, Kamil, and Hazi Mohd. Yaseen) — a consumer cannot be compelled to pay a provisional-assessment amount as if final, absent a proper final assessment after hearing. The two impugned notices were quashed, with liberty to the licensee to conduct the final assessment properly, in accordance with the Act and the Code.

¶ paras 7-18

LIMITING FACTS

The petitioner's LMV-1 (residential) connection was subjected to a s.135(1)(e) FIR and provisional assessment (Rs. 1,74,725) after an inspection alleged the premises was being run as a commercial girls'/boys' hostel (attracting LMV-2 commercial tariff); a prior writ petition secured restoration on 50% deposit and leave to object; objections were duly filed, but the licensee then issued 'final notice' letters demanding the full amount without any hearing or reasoned final order.

PRINCIPLE TAGS

clause-8.1b-personal-hearing-mandatory-before-final-assessment After a consumer files objections to a theft-related provisional assessment, Clause 8.1(b)(iii) requires an actual personal hearing before any final assessment can be made; a bare

'final notice' reiterating the provisional figure, without a hearing or reasoned order, is unenforceable — reinforcing the corpus's cluster of s.126/Clause 8.1 procedural-strictness rulings (SCJ-069, SCJ-087, SCJ-092, SCJ-111). Lead authorities: *Ashok Kumar & Others v. State of U.P. & Others* [897981], *Kamil v. State of U.P. & Others*, *Hazi Mohd. Yaseen v. Paschimanchal Vidyut Vitran Nigam Ltd.*. ¶ paras 13-15

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE PREMISES WAS IN FACT BEING USED COMMERCIALY (LMV-2) OR RESIDENTIALLY (LMV-1), AND THE CORRECT ASSESSMENT AMOUNT

Not decided; left to a proper final assessment after hearing. ¶ para 18

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ashok Kumar & Others v. State of U.P. & Others</i> 2008 (6) ADJ 660 (DB) [897981] Allahabad High Court (DB)	A fair opportunity of hearing is required before an assessing officer records a conclusion of unauthorised use of electricity.	Followed as supporting authority for the natural-justice requirement.	Court	Followed
<i>Kamil v. State of U.P. & Others</i> 2016 (6) ADJ 11 (DB) Allahabad High Court (DB)	Same procedural-fairness principle for s.126/Clause 8.1 assessment.	Followed as supporting authority.	Court	Followed
<i>Hazi Mohd. Yaseen v. Paschimanchal Vidyut Vitran Nigam Ltd.</i> 2011 (10) ADJ 261 (DB) Allahabad High Court (DB)	Same procedural-fairness principle for s.126/Clause 8.1 assessment.	Followed as supporting authority.	Court	Followed

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